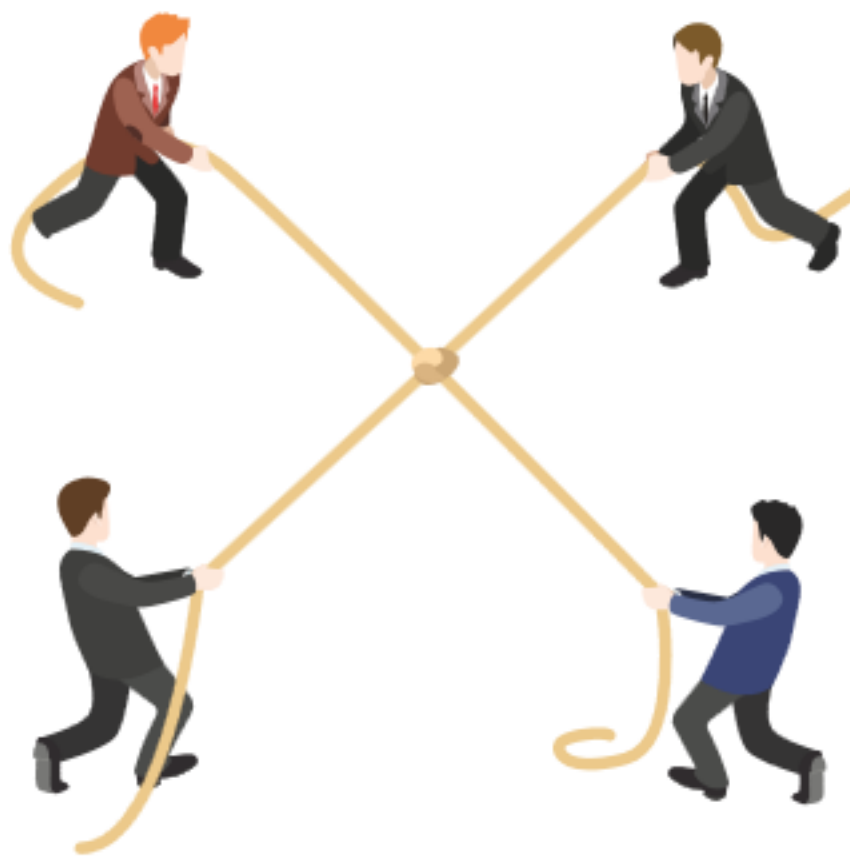
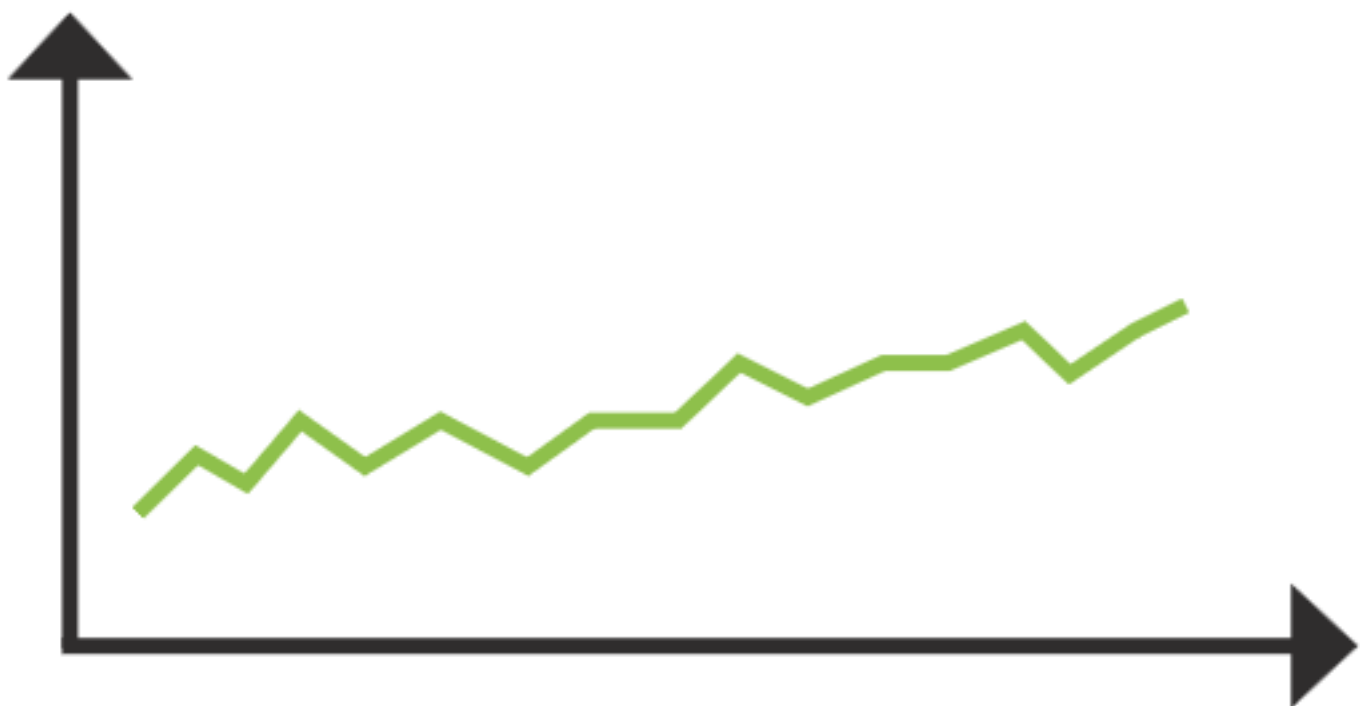


5. Competitive Rivalry

Intense rivalry among competitors often leads to downward pressure on prices. This can result in low profits as competitors engage in price wars or spend more on marketing and promotions to gain market share. Several factors contribute to rivalry among existing competitors

Factors Driving Competitive Rivalry	Depiction	Description
Numerous or Equal Competitors		When many competitors exist in a market, especially those of similar size and market position, rivalry tends to be more intense.
Slow Industry Growth		In slow-growing industries, companies compete aggressively for limited market share.
High Fixed Cost		Industries with high fixed costs, such as manufacturing or infrastructure, often face intense competition as firms lower prices to cover expenses.
High Exit Barriers		When leaving an industry is costly or difficult, companies are more likely to stay and compete, even in unfavorable conditions.
High Commitment to the Business		Businesses with strong industry ties or long-term investments often engage in fierce competition to protect their market position.
Diverse Approaches and Goals		Differences in companies' strategies, objectives, and competitive approaches can intensify market rivalry.

Intense competition can lead to price reductions, lower profitability, and increased operational costs. Understanding these factors helps businesses develop strategies to navigate competitive markets effectively.

